



Strategic Stability: RBI Holds Rate at 5.25%

The Monetary Policy Committee (MPC) retains a 'Neutral' stance, signalling that the cycle has shifted from active easing to observation.

5.25%

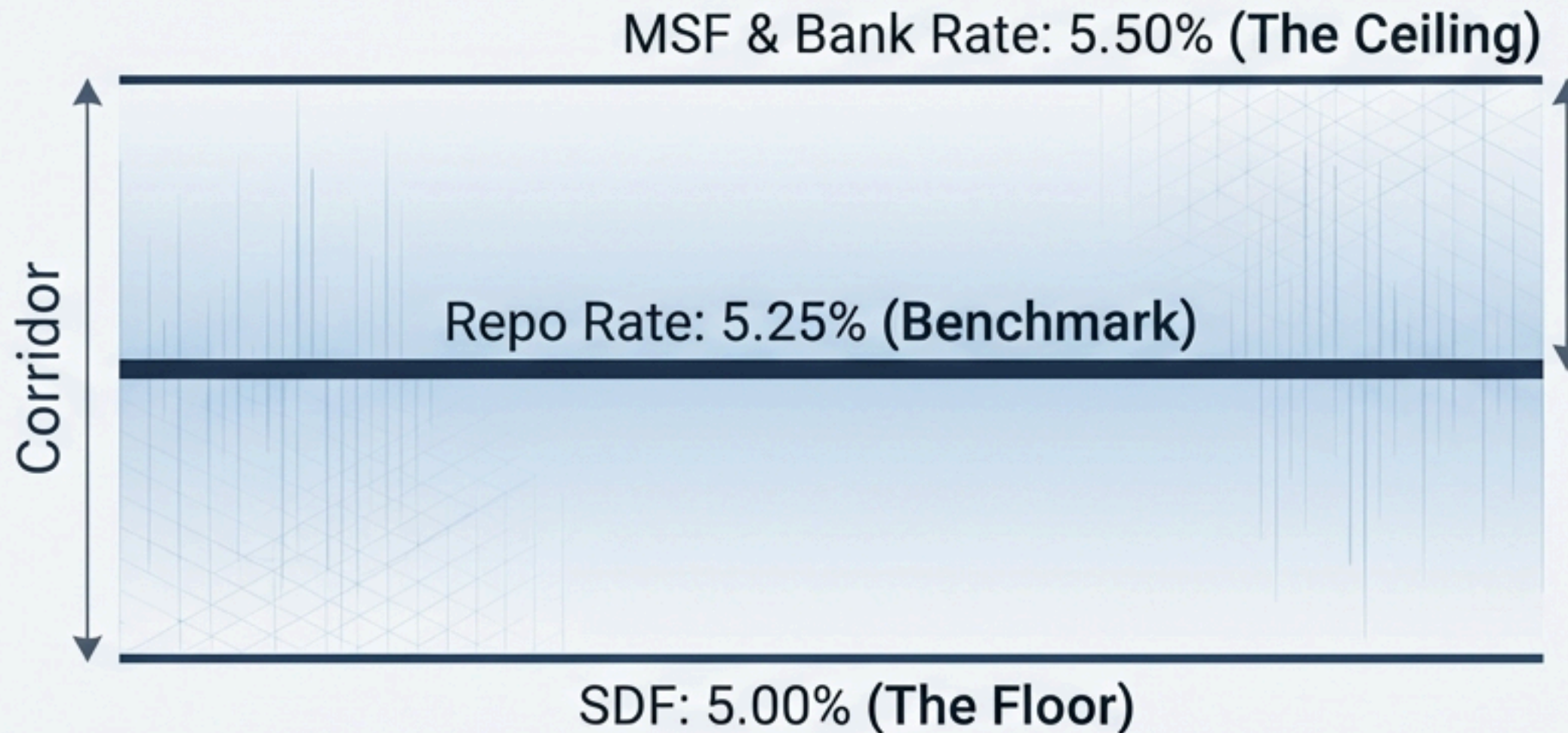
Repo Rate Unchanged

KEY TAKEAWAY

This is a policy pause, not a policy reversal. The central bank is prioritising stability after a significant easing cycle.

The Policy Matrix: Anchoring the Rate Corridor

Technical Data



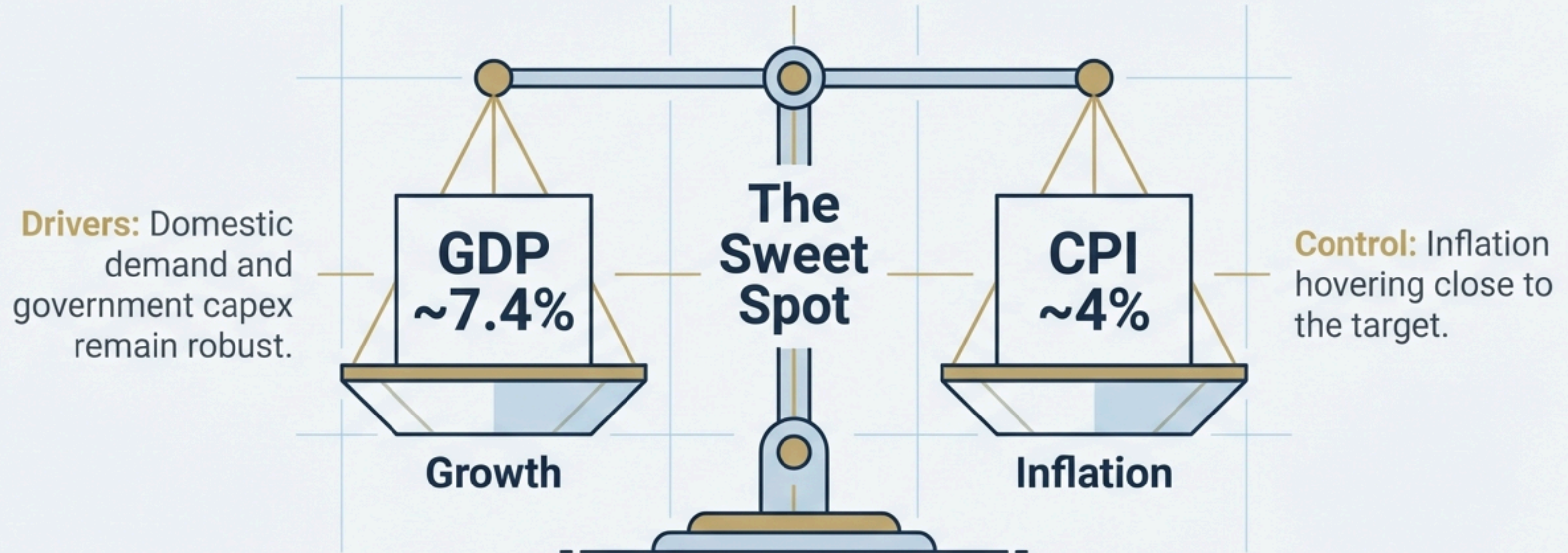
The Vote

- All members voted for **no rate cut**.
- Dissent Note: One member voted to change the stance stance to 'Accommodative', whilst the majority held 'Neutral'.

INSIGHT: The corridor remains symmetric, providing predictability for interbank lending markets.

India Enters the 'Goldilocks' Phase

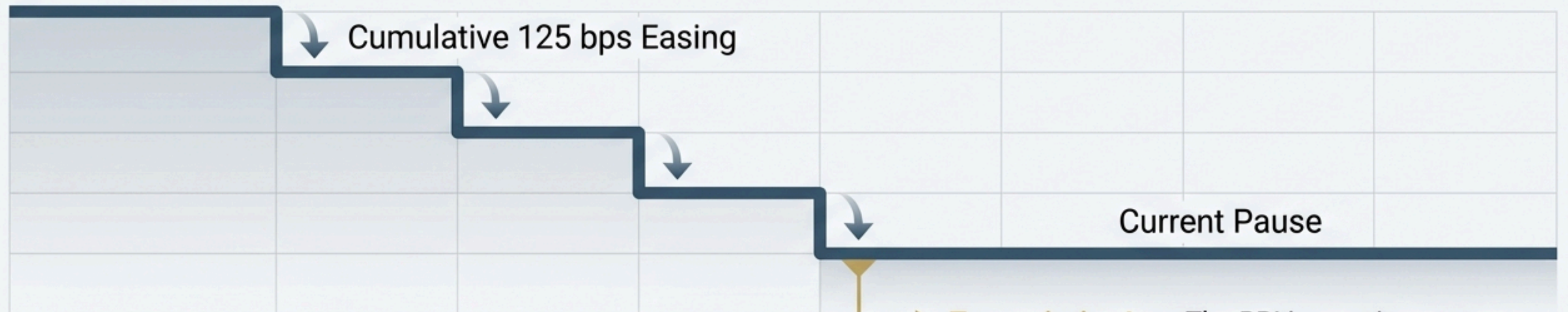
Modern Financial Editorial



INSIGHT: The economy is expanding without overheating. This 'sweet spot' affords the RBI the luxury of patience.

Rationale I: Letting Previous Cuts Do the Work

FY25 Start



Transmission Lag: The RBI is pausing to ensure the full benefit of past cuts is passed on by Banks/NBFCs to the end borrower.

Prudence: Rushing further cuts before transmission is complete risks policy inefficiency.

INSIGHT: The focus is now on execution by lenders, rather than intervention by the central bank.

Rationale II: Pre-empting Instability



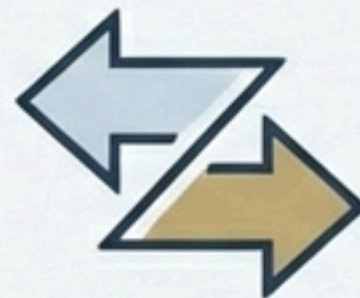
Asset Bubbles: Further easing risks inflating asset prices beyond fundamentals.



Imported Inflation: Global commodity prices and monsoon shocks remain unpredictable variables.



Data Integrity: New CPI & GDP base revisions are underway, warranting caution.



Global Context: Uncertainty regarding global rates and capital flows dictates a defensive buffer.

INSIGHT: Managing financial stability is prioritised over short-term acceleration.

Impact: Stability for Banks, Clarity for Borrowers



For Borrowers

EMIs: No immediate change expected from today's decision.

Context: Borrowing costs are already lower due to the historical 125 bps cut cycle.



For Lenders (Banks & NBFCs)

Margins: The pause offers margin stability and pricing clarity.

Focus: The priority shifts to maintaining asset quality and ensuring financial stability.

INSIGHT: A stable rate environment allows businesses to plan capital expenditure with greater confidence.

Market Outlook: Assessing Asset Implications

Bonds



Yields likely to remain **range-bound**. Outlook is strictly data-dependent.

Equities



Positive outlook driven by **stability + growth**. However, no fresh trigger for a rally based on rate cuts.

FX (Rupee)



Supported by strong growth differentials and anchored inflation.

INSIGHT: "No news is good news." The absence of volatility supports a carry-trade environment and long-term equity accumulation.

The Core Message: From Stimulus to Sustainment

